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Before the
FEDERAL MARITIME COMMISSION

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96 JUL 29 1996

DOCKET NO. 96-14

COMPANIA SUD AMERICANA DE VAPORES S.A.

against

INTER-AMERICAN FREIGHT CONFERENCE, INTER-AMERICAN
FREIGHT CONFERENCE "SECTION C," A.P. MOLLER
MAERSK LINE, CROWLEY AMERICAS TRANSPORT, INC.,
A/S IVARANS REDERI, COMPANHIA MARITIMA NACIONAL,
COMPANHIA DE NAVEGACAO LLOYD BRASILEIRO, EMPRESA
LINEAS MARITIMAS ARGENTINAS S.A., EMF'RESA DE NAVEGACAO
ALIANCA S.A., FROTA AMAZONICA S.A.,
HAMBURG-SUDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT EGGERT
& AMSINCK, AND TRANSROLL/SEA-LAND JOINT SERVICE

COMPLAINT

1. Complainant, Compania Sud Americana de Vapores S. A. (hereinafter "CSAV"), is a corporation organized under the laws of the Republic of Chile, with its principal place of business in Plaza Sotomayor 50, Valparaiso, Chile.

2. Respondents are the Inter-American Freight Conference ("IAFC"), 111 Pavonia Avenue East, Suite 434, Jersey City, NJ 07310, and its following member or affiliated entities as follows:

a) Inter-American Freight Conference, Section C (hereinafter “Section C”), is a Conference section formed under FMC Agreement No. **202-009648A**, as amended, with its principal place of business at Av. Rio **Branco**, 156-27 Andar, Rio de Janeiro, Brazil;

b) A.P. Moller-Maersk Line, with its principal place of business at 50, Esplanaden, DK-1098 Copenhagen, Denmark;

c) Crowley American Transport, Inc., with its principal place of business at North Regency II, 9487 Regency Square, Jacksonville, Florida 32225, U.S.A.;

d) A/S Ivarans Rederi d/b/a Ivaran Lines, with its principal place of business at Vollsveien 9-11, P.O. Box 175, Lysaker, Norway;

e) Companhia Maritima **Nacional**, with its principal place of business at Rua Sao **Bento** No. 8, 8 andar, Rio de Janeiro, Brazil;

f) Companhia de Navegacao Lloyd Brasileiro, with its principal place of business at Rua do Rasario 1/17. 20041-030 Rio de Janeiro, R.J., Brazil;

g) Empresa **Lineas** Maritimas Argentinas, Sociedad Anonima (**ELMA S/A**), with its principal place of business at Corrientes 389, **Piso 4**, 1327 Buenos Aires, Argentina;

h) Empresa de Navegacao Alianca S.A., with its principal place of business at Av. Pasteur No. 110, P.O. Box 588, Bota Fogo, 22290 Rio de Janeiro, RJ, Brazil;

i) Frota Amazonica S.A. (membership limited to Section A only, effective January 1, **1995**), with its principal place of business at Av. Presidente Vargas 112, Edificio

Frota Amazonica, 66000 Belem, **Para**, Brazil;

j) Hamburg-Sudamerikanische Dampfschiffahrts-Gesellschaft, Eggert & Amsinck (Columbus Line), with its principal place of business at Ost-West-Strasse 59, 2000 Hamburg 11, Germany;

k) Transroll/Sea-Land Joint Service (a joint service operating pursuant to FMC Agreement No. 207-011341), with its principal place of business at c/o Transroll Navegacao, S.A., Av. Almirante Barroso 139, 20.031 Rio de Janeiro, RJ, Brazil; and

l) Transroll/Sea-Land Joint Service (a joint service operating pursuant to FMC Agreement No. 207-011341), with its principal place of business at c/o Sea-Land Service, Inc., 6000 Carnegie Blvd., Charlotte, North Carolina 28209, U.S.A.

3. The Federal Maritime Commission has jurisdiction over this matter pursuant to Section 11 of the Shipping Act of 1984, 46 U.S.C. App. § 1710.

4. CSAV joined the IAFC, including Section C, in March 1995, and supplied the IAFC with its Irrevocable Standby Letter of Credit in the amount of \$50,000.00 (the "L/C") as required by Clause 15.05 of the IAFC Agreement. On May 13, 1996, the IAFC Administrator, Edward J. LeBlanc, issued to Chase Manhattan Bank N.A. a draft payable against the L/C in the amount of \$32,924.57, along with a Letter stating that the draft is in accordance with the IAFC Agreement. The draft has been paid to the IAFC by Chase Manhattan Bank, which in addition charged an administrative fee of \$200.00 to CSAV's account. A letter accompanying the draft indicates that the draft is for payment of various invoices issued to CSAV by the IAFC.

5. On information and belief, the invoices which resulted in the draft upon CSAV's L/C relate to the winding up of affairs of a corporation organized under the laws of Brazil, named "Sociedade Brasileira de Administracao de Conferencias de Frete" (hereinafter "**Sobracon**"). Sobracon is a corporation that came into existence long before CSAV's membership in the IAFC, and whose shareholders or members include members of the IAFC; however, CSAV is not and has never been a member or shareholder of Sobracon.

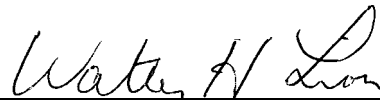
6. No provision in the IAFC Agreement refers to Sobracon, requires CSAV to become a member or shareholder of Sobracon, obligates CSAV for the corporate obligations or debts of Sobracon, or authorizes the IAFC to collect from CSAV's L/C or otherwise for financial contribution to the winding up expenses of Sobracon. CSAV has therefore denied liability for the winding up expenses of Sobracon, and refused to pay IAFC invoices for those amounts. The IAFC's action in drawing upon the L/C to obtain payment for Sobracon's liabilities is not authorized by the IAFC Agreement, nor by any other agreement, to CSAV's knowledge, that has been filed at the Commission.

7. By reason of the facts stated in the foregoing paragraphs, CSAV has been injured as a direct result of the IAFC's violations of Section 10(a)(2) and 10(a)(3) of the Shipping Act of 1984, 46 U.S.C. §1709(a)(2-3), in that the IAFC actions are not in accordance with the IAFC Agreement, or else reflect an agreement that should be but has not been filed at the Commission.

8. CSAV has been injured to its damage in the sum of **\$33,124.57**, plus interest from May 13, 1996, to date of repayment.

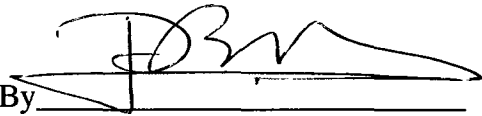
9. Wherefore CSAV prays that IAFC be required to answer the charges herein; that after due hearing, an order be made (1) commanding IAFC to pay to CSAV by way of reparations for the unlawful conduct hereinabove described twice the sum of **\$33,124.57**, along with interest, filing fees, costs and attorney's fees or such other sum as the Commission may determine to be proper, along with any charges claimed by the IAFC after the date of this Complaint; (2) commanding the IAFC to cease and desist from charging CSAV for any other expenses relating to Sobracon and its winding up; and (3) commanding that the IAFC shall not charge any of the reparations awarded and legal costs of this lawsuit to CSAV, directly or indirectly; and (4) that such other order or orders be made as the Commission determines to be proper in the premises. CSAV requests in accordance with Rule 62 that hearing, if any, be held in New York, New York.

This 2nd day of July, 1996



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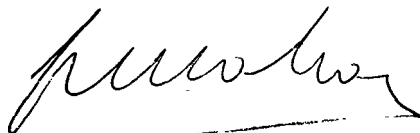
COMPANIA SUD AMERICANA
DE VAPORES S.A.

By 

Fernando Bustamante
Senior Vice President
Compania Sud Americana de Vapores S.A.

VERIFICATION

Fernando Bustamante, being first duly sworn on oath, deposes and says that he is the Senior Vice President of Compania Sud Americana de Vapores S.A., that he has read the foregoing Complaint, dated July 2, 1996, that the facts stated therein upon information known to him are true, and that the facts stated therein upon information received from others, he believes to be true.



Por el notario titular y autorizado judicialmente
GONZALO MAHAN MARCHESE

NOTARIO SUPLENTE

Valparaíso, 02 julio 1996.-

Notary Public



Fernando Bustamante
Identity Card N°6.622.925-4

